



Case Study: IPO of LG CNS

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I. Industry Overview

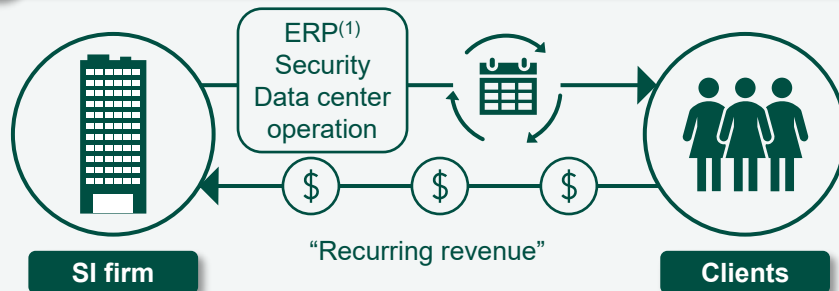
1. System Integration Industry Overview
2. Competitive Landscape

System Integration Industry Overview

Korean system integration companies, operating on project and subscription models, are key beneficiaries of rapid growth of cloud and AI transformation

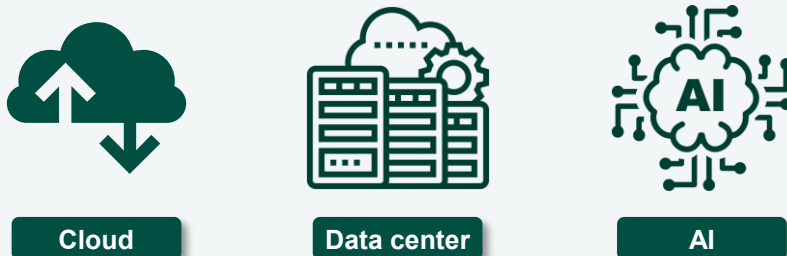
Business models of domestic SI⁽¹⁾ industry

1 Subscription-based revenue model



- Collecting recurring operation fees through IT outsourcing
- Centered on continuous management services

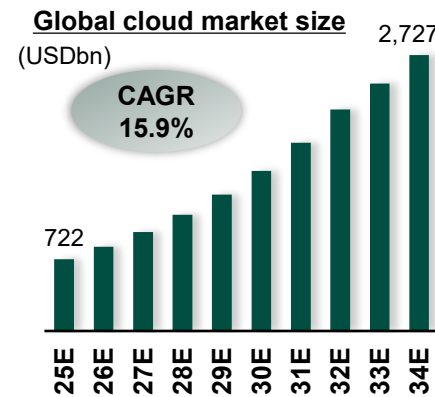
2 Project-based revenue model



- Customized solutions tailored to each client's industry need
- Long sales cycles, strong client references, and recurring follow-up opportunities

Key growth drivers of domestic SI industry

1 On-premise to cloud trend

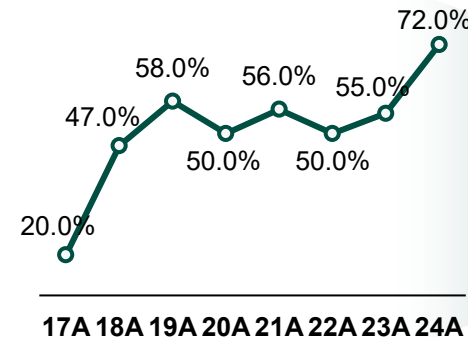


Why cloud?

- **Cost effective** management of data
- Need for **data use** and processing
- Security and stability in **data protection**

2 AI transformation

Usage of AI by organizations



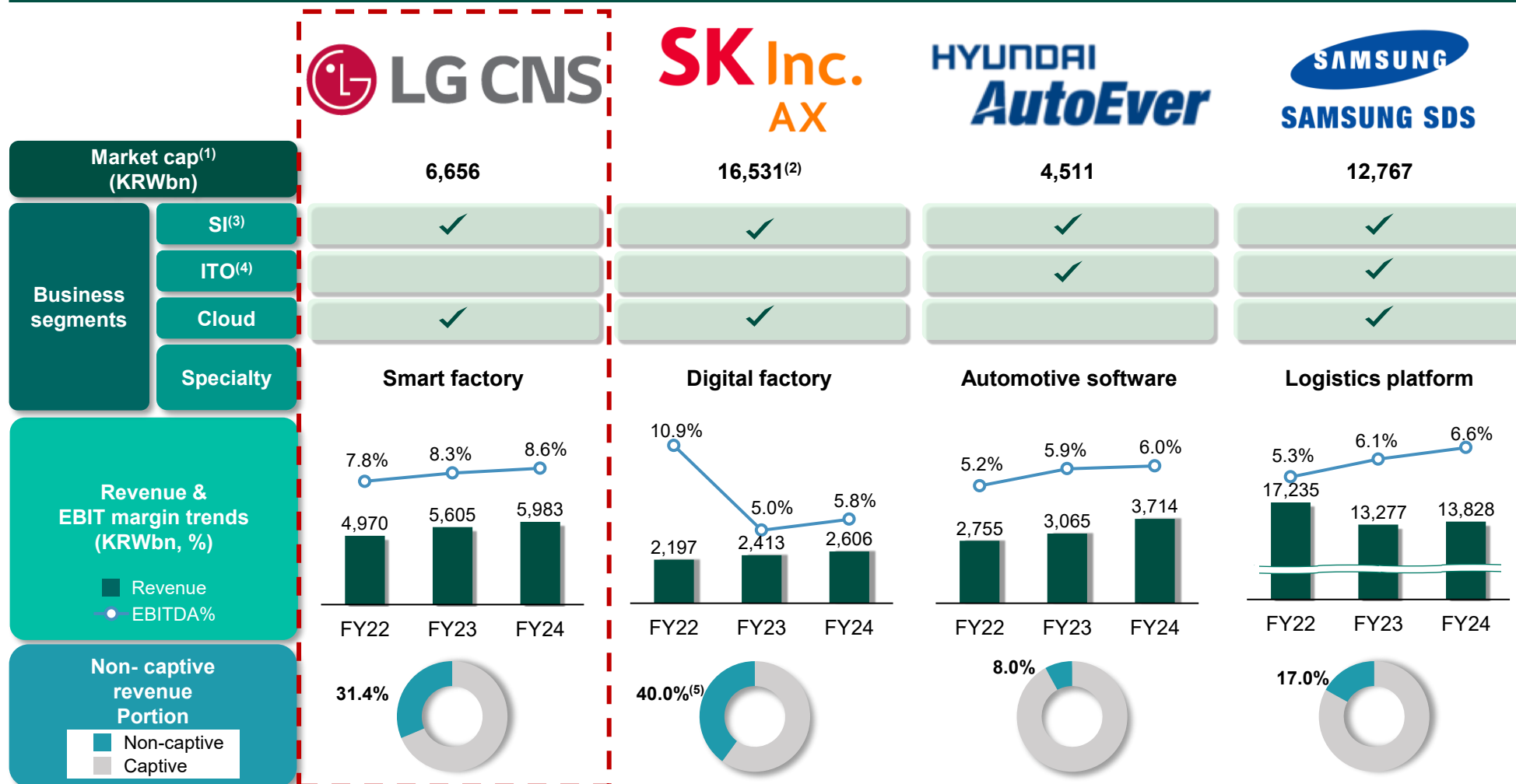
Benefits of AI Implementation

- 2.5X** in revenue growth
- 2.4X** in productivity

Competitive Landscape

LG CNS delivers solid margins and scalable growth, with diversified revenue across segments and rising non-captive contributions.

Landscape of domestic competitors



Source: DART, Company filings Market intelligence

Notes: (1) As of Sep 22, 2025; (2) Market cap of SK Inc. (3) System Integration; (4) Information Technology Outsourcing; (5) Estimated

II. Company Overview

1. Company Snapshot
2. Business Overview
3. IPO Valuation

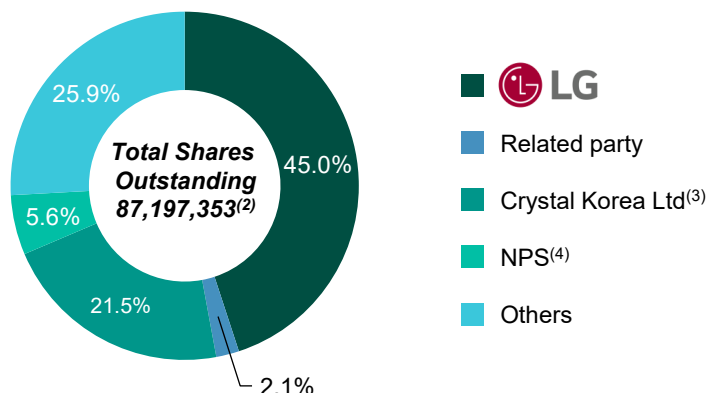
Company Snapshot

LG CNS is a system integration company operating in both in-house and non-captive client projects, recently being listed in KOSPI

Company profile

- LG CNS(or “the Company”) was established on Jan 14,1987 as an IT service company operating in digital business service, Cloud & AI, and smart engineering
- The company went public on the KOSPI in February 2025, debuting at an offer price of KRW 61,900 per share
- LG Corp. sold 35.0% stake of the company to Macquarie PE in April 2020 to ease the concerns on Korea’s fair-trade rules
- Non-organic growth has been demonstrated by the acquisitions of RightBrain, a user experience design company, and GTInnoVision, an IT solutions provider
- Both operating in captive and non-captive area actively engaging in system integration and DX⁽¹⁾ of LG Group and securing contract from other firms

Shareholding structure

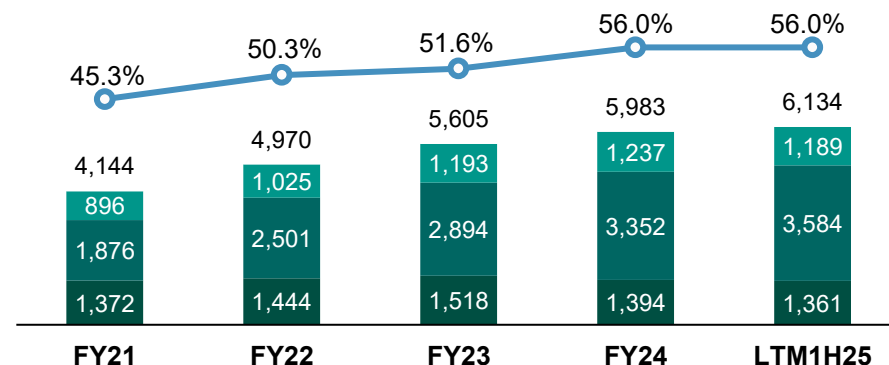


Key financials

(KRWbn)	FY21	FY22	FY23	FY24	LTM1H25
Revenue	4,143	4,970	5,605	5,983	6,134
<i>Growth (%)</i>	23.3%	19.9%	12.8%	6.7%	2.5%
Gross Profit	617	732	835	931	950
<i>Margin (%)</i>	14.9%	14.7%	14.9%	15.6%	15.5%
EBITDA	408	474	561	617	676
<i>Margin (%)</i>	9.8%	9.5%	10.0%	10.3%	11.0%
EBIT	329	385	464	513	563
<i>Margin (%)</i>	7.9%	7.8%	8.3%	8.6%	9.2%
Net Income	235	265	332	365	406
<i>Margin (%)</i>	5.7%	5.3%	5.9%	6.1%	6.6%
Total Assets	3,325	3,865	4,041	4,505	4,544
Total Liabilities	1,863	2,234	2,172	2,382	1,830
Net Debt	(155)	(93)	(57)	(468)	(883)

Revenue breakdown

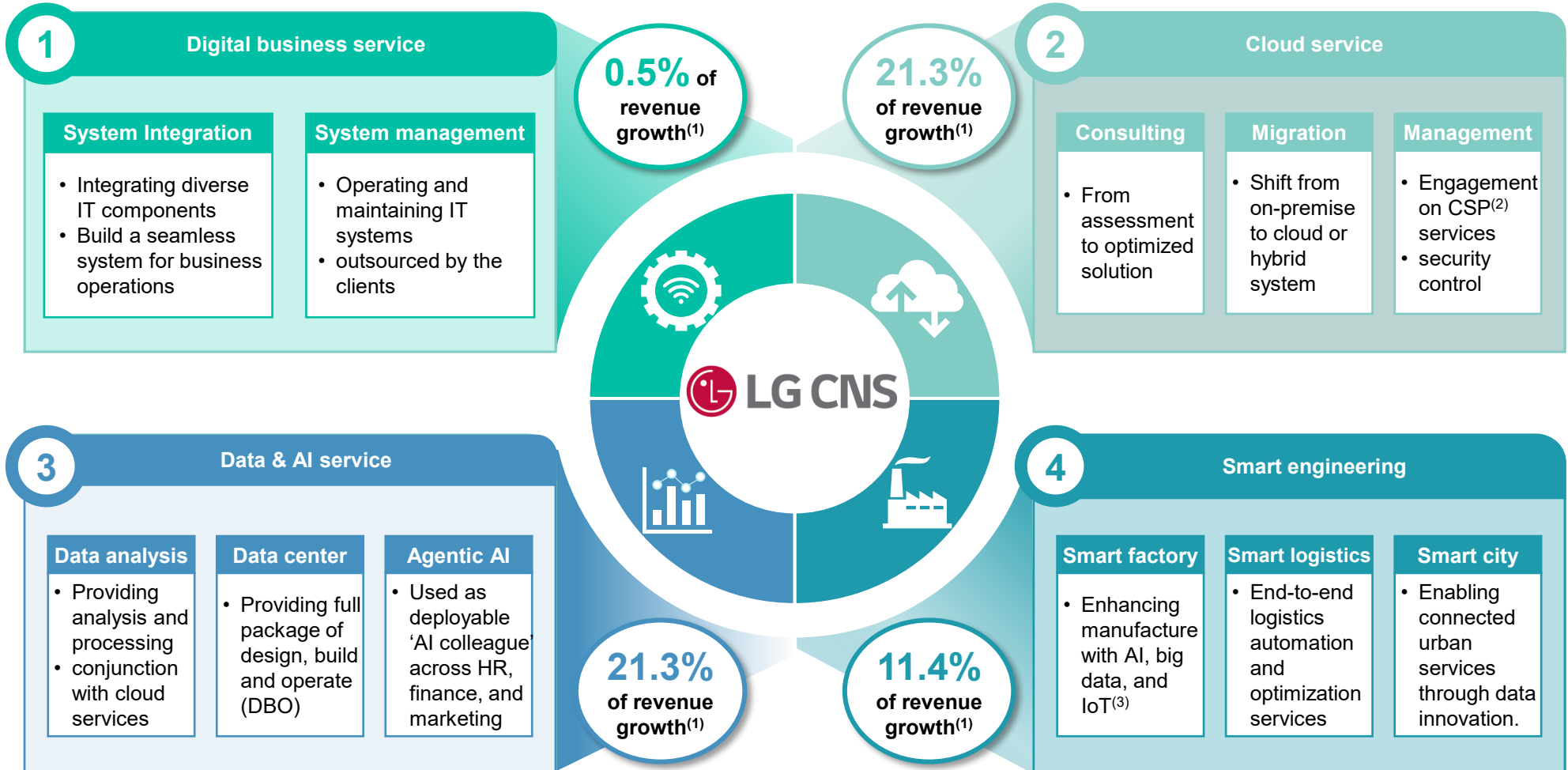
(KRWbn,%) ■ SI/SM ■ Cloud/AI ■ Smart engineering —○— Cloud revenue portion



Business Overview

LG CNS delivers integrated digital, cloud, data & AI, and smart engineering services, positioning itself as a full-spectrum partner for enterprise transformation

Business segmentation



Source: DART, Company filings

Notes: (1) 3Y CAGR, FY21-FY24; (2) Cloud Service Provider; (3) Internet of Things

IPO Valuation

LG CNS went public at KRW61,900 per share, valued on peer PER multiples, and surged further on stablecoin beneficiary momentum after 4 months of weak share performance

IPO valuation

1

Peer selection

Industry similarity⁽¹⁾

Business similarity⁽²⁾

Financial similarity⁽³⁾



2

Peer multiple

	Market Cap	NI	PER
Samsung SDS	11,081	709	15.6x
Hyundai Autoever	3,793	709	24.7x
NTT DATA	34,991	1,277	27.4x
Target multiple		22.6x	

3

IPO valuation methodologies

Adjusted Net Income



Target PER



Market Cap

Market Cap



Shares outstanding



Per-share valuation

Per-share valuation



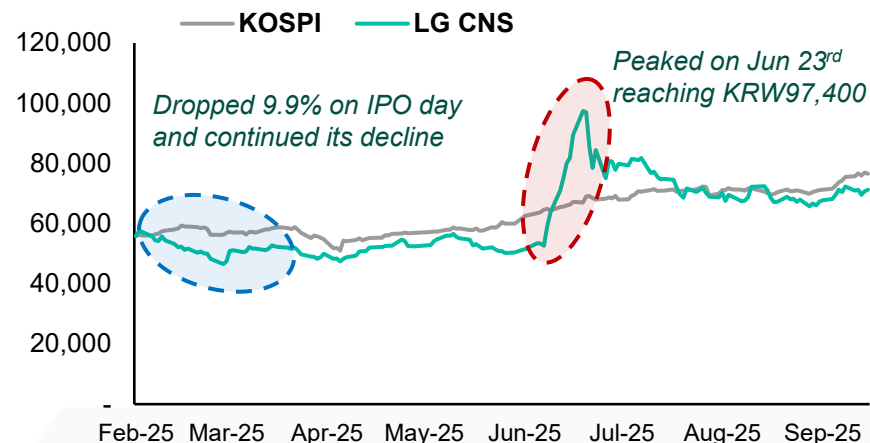
1-discount rate



Offer price
=61,900KRW

Stock price evolution

(KRW)



Post-IPO stock drop

- **Low commitment ratio** from institutional investors leading to **significant free float**
- **Macquarie PE's secondary share sale** during the IPO
- **Overhang risk** from post lock-up share sales by Macquarie PE



Stock surge driven by stablecoin

- Regulatory discussions on the **institutionalization of KRW-denominated stablecoins**
- **Project Hangang**, the BOK⁽⁴⁾'s CBDC pilot program
- LG CNS's role as the **technical lead of the CBDC**

Source: DART, KRX, Market intelligence

Notes: (1) Listed large-cap IT vendors, domestic and global; (2) Over 40% of revenue derived from IT services; (3) Revenue growth, positive net income attributable to controlling shareholders, and sufficient scale; (4) Bank of Korea; (5) Central Bank Digital Company

III. Investment Highlights

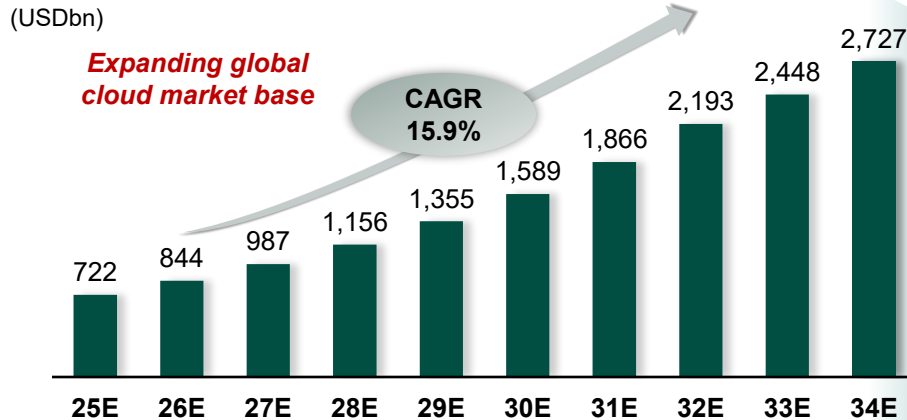
1. Full Beneficiary of Cloud Market Expansion
2. Strong Non- captive Revenue Base
3. Emerging as a Core Player in Stablecoin Evolution

Investment Highlight1

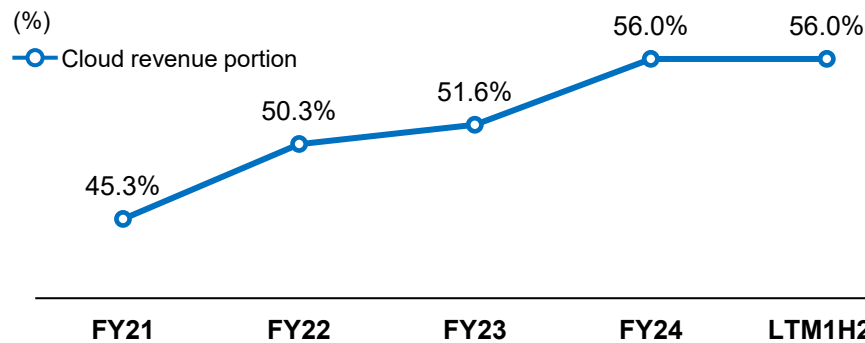
Full Beneficiary of Cloud Market Expansion

Along with the rapidly expanding global cloud market, LG CNS is increasing its cloud revenue contribution, fully capturing opportunities throughout the cloud transformation

Global cloud market size



Revenue breakdown by segments



Increasing cloud revenue contribution with wide range of cloud business

Delivers end-to-end cloud transformation services

LG CNS captures every opportunities of cloud transformation



Consulting

• Key clients

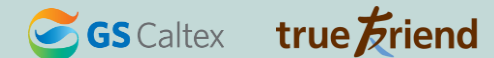


- **Services:** Cloud maturity assessment, CSP⁽¹⁾ selection, timeline and cost to establish a strategic roadmap.



Migration

• Key clients



- **Services:** Seamless cloud migration, Automating management, development, and testing processes



AI&Data

• Key clients



- **Services:** Establishing a platform for systematic large-scale data utilization



Management

• Key clients



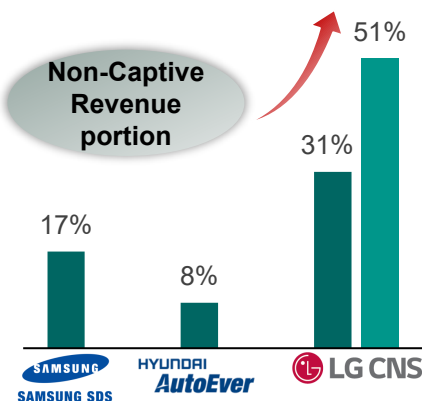
- **Services:** Integrating CSP-recommended services for cost optimization and leveraging cloud-native security solutions.

Investment Highlight2

Strong Non-captive Revenue Base

Robust growth in non-captive revenue demonstrating competence in external projects leading to wide range of clients and scalability potential

Robust non-captive revenue growth



- Expansion from captive revenue base to **non-captive and global clients**
- Cloud and AI transformation driving the growth
- Strong project references driving **consecutive wins in similar sectors**

Benefits of growth in non-captive revenue

1

Upside potential for revenue growth



- Domestic based sales to **global markets**
- New opportunities for digital transformation and infrastructure in the emerging markets

2

Client diversification highlighting execution capability

Finance



Public



Edu



Chem



- Positive reference in diverse industries for future project bids
- Diversification of risk to specific industry or sector

Major non-captive contract case

1



- **Type:** Generative AI platform, Multi hybrid cloud
- **Contract size:** 130KRWbn
- **Location:** Korea
- **Objective:** Enhancing operational efficiency by training large language models(LLMs) with vast proprietary data

2

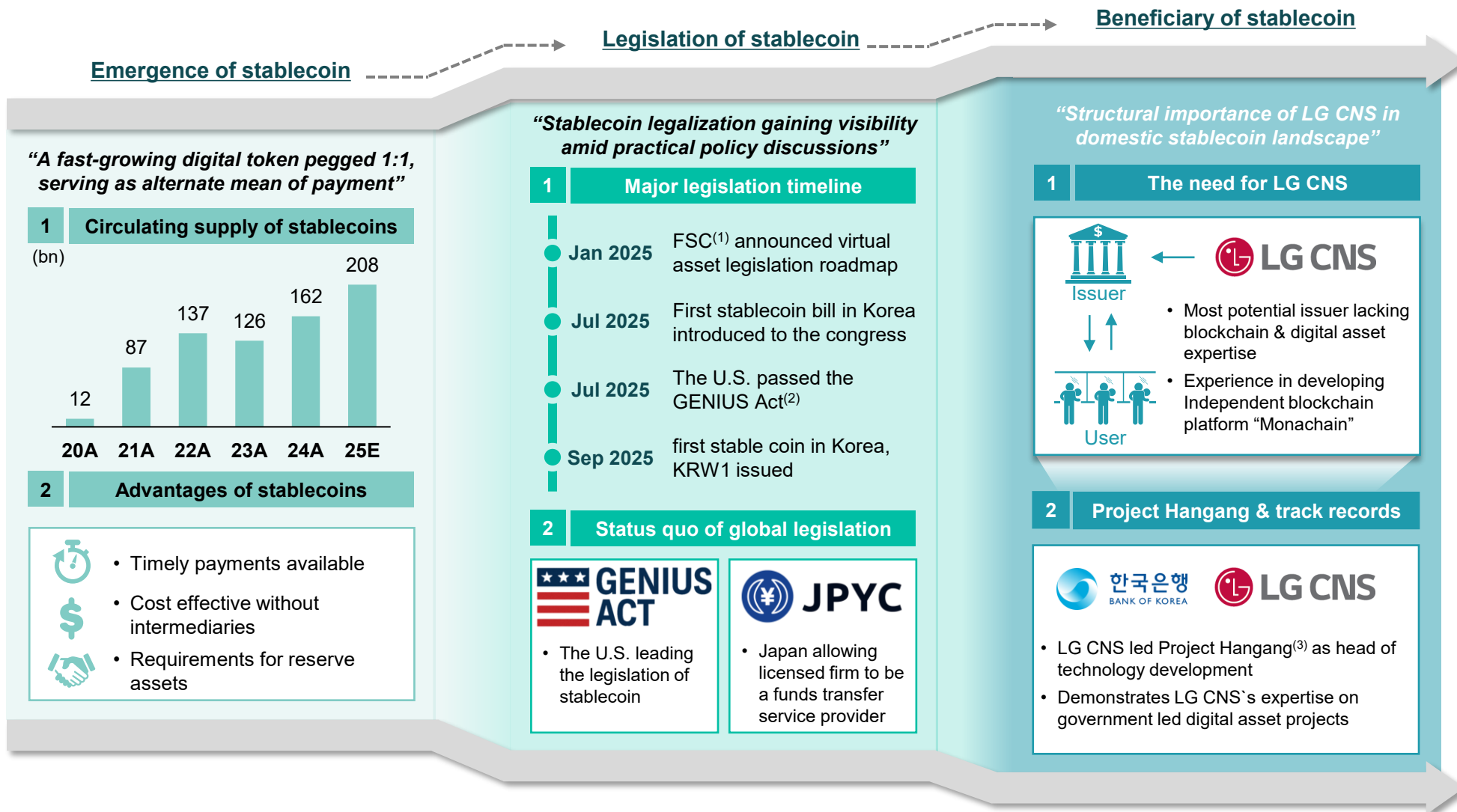


- **Type:** AI data center building
- **Contract size:** 100KRWbn
- **Location:** Indonesia
- **Objective:** Meeting ASEAN AI demand, expanding regional hub, and building sustainable digital infrastructure

Non-captive revenue reflects the true competitiveness of an SI player, excluding the effects of favorable affiliates

Emerging as a Core Player in Stablecoin Evolution

LG CNS presenting its potential to be a leading infrastructure provider for newly emerging stablecoins and recent efforts on legislation of domestic stablecoin ecosystem





Finance Case Research Club
Team Amalfi